DATA NETWORKS

IFRS 9 – Financial Instruments

Accurate, Automated, and Agile ECL Computation with Data Networks

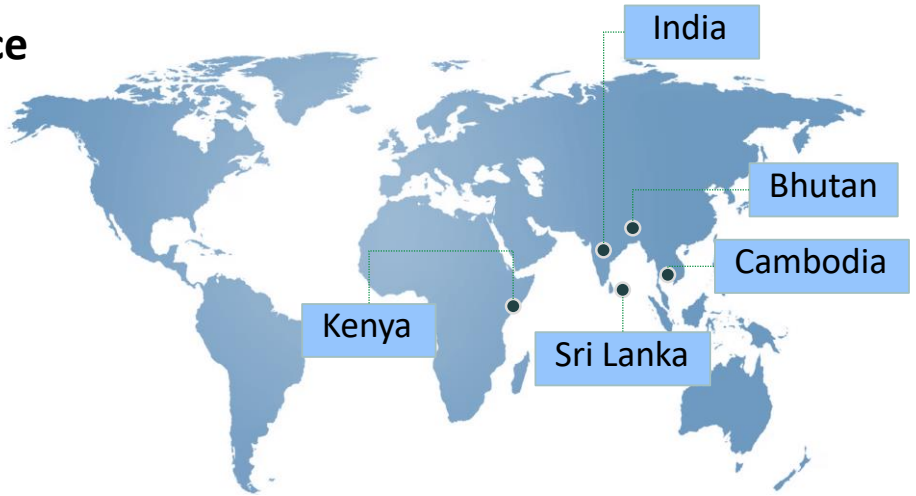
Overview

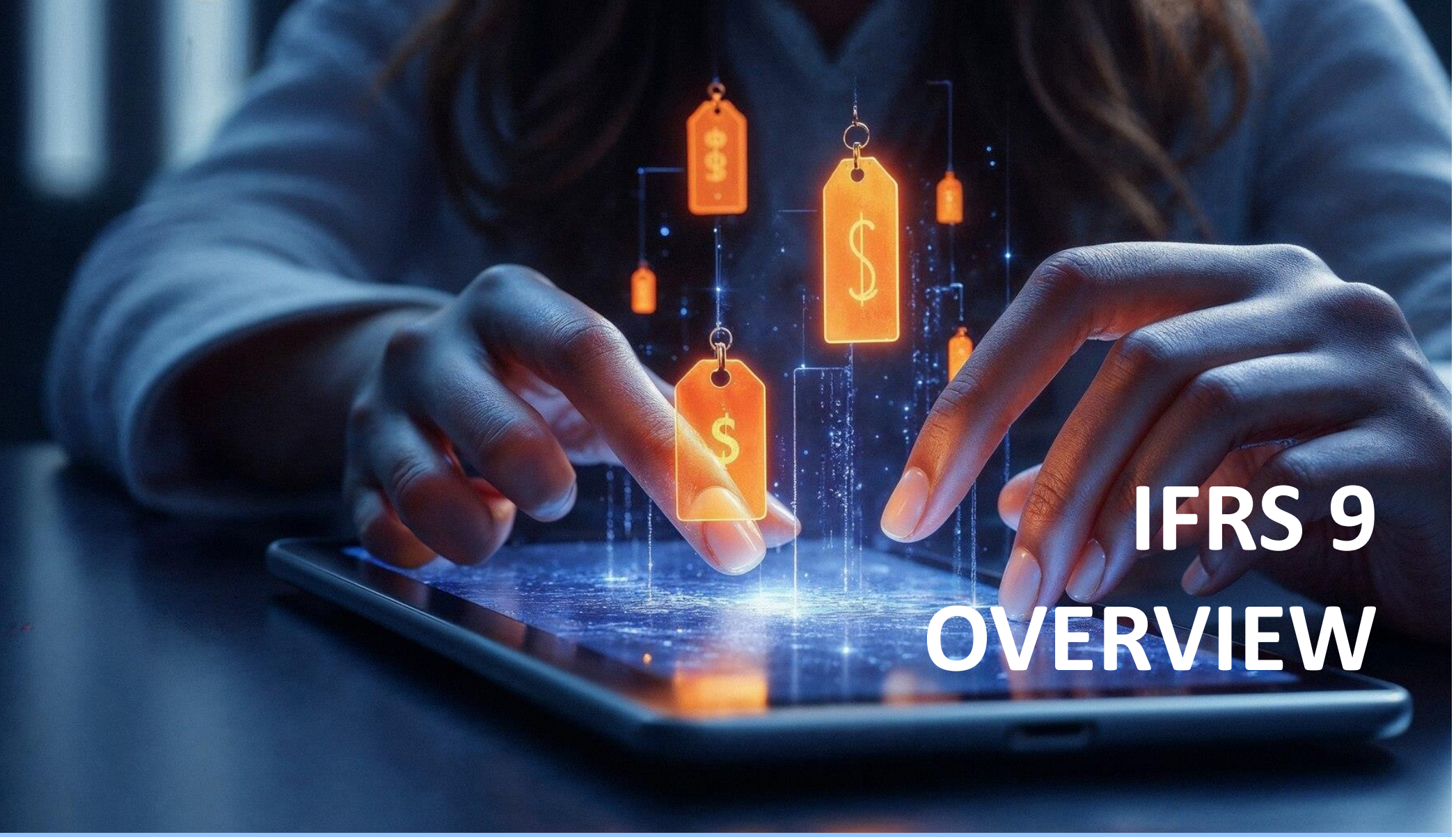
1. Data Networks, is a provider of innovative software Solutions and Services for the Banking and Financial services industry.

2. With a mission to drive digital transformation, we empower banks, credit unions, and other financial institutions to enhance customer experiences, streamline operations, and maintain regulatory compliance.

3. Our cutting-edge solution is designed to meet the unique needs of the banking sector, enabling seamless integration, robust security, and scalability.

Our Presence





IFRS 9 OVERVIEW

Why IFRS 9?

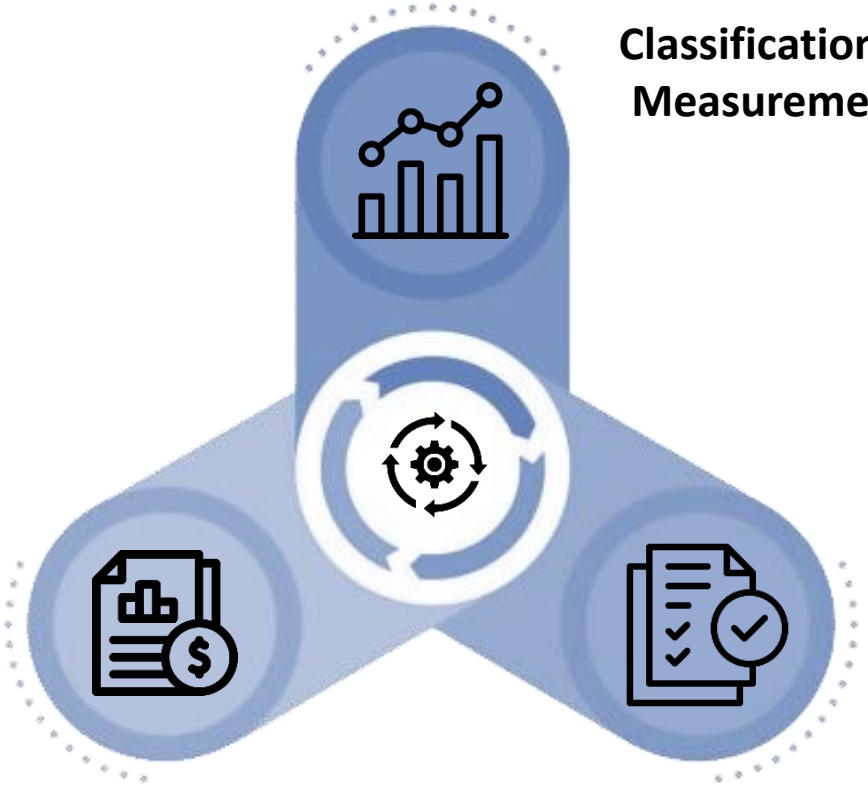
DATA NETWORKS

- **Strengthens credit risk transparency and early provisioning**
- **Encourages forward-looking financial reporting**
- **Enhances investor and regulatory confidence**
- **Mandatory for all IFRS-compliant financial institutions**

Example:

- A bank will now calculate possible losses even for performing customers based on macroeconomic outlook.

Key Components of IFRS 9



Classification & Measurement

Hedge Accounting

Impairment (ECL)

Classification Example

- Financial Instrument
- Business Model
- SPPI Result
- IFRS 9 Category
- Retail Loan
- Hold to Collect
- Pass

- Amortized Cost
- Corporate Bond
- Hold & Sell
- Pass
- FVOCI
- Equity Shares
- Trade
- Fail

Example:

- A housing loan collected through EMIs → Amortized Cost.
- A treasury trading asset → FVTPL.

From Incurred to Expected Loss

Incurred

- IAS 39 (Old)
- Losses booked after default
- Based on past events
- Static provisioning

Expected Loss

- IFRS 9 (New)
- Losses booked before default
- Based on future expectation
- Dynamic & risk-sensitive provisioning

Example:

- A bank will now calculate possible losses even for performing customers based on macroeconomic outlook.

Three-Stage Model

Stage Example Provision

Stage 1 **Stage 2** **Stage 3**

1

- New Loan
- Regular Payment
- 12-month ECL

2

- Early warning signs (missed 1–2 EMIs)
- Lifetime ECL

3

- Default (90+ days overdue)
- Lifetime ECL (interest on net)

ECL Formula

ECL = PD \ LGD \ EAD

Example: Factor	Description	Value
PD -	Probability of Default	4%
LGD -	% of Loss if Default	40%
EAD -	Exposure at Default	₹10,00,000
ECL	=	₹16,000

Forward-Looking Scenarios

Incorporates macroeconomic assumptions like GDP, inflation, interest rate, unemployment, etc.

Uses weighted probability scenarios

Base (50%), Optimistic (25%), Pessimistic (25%)

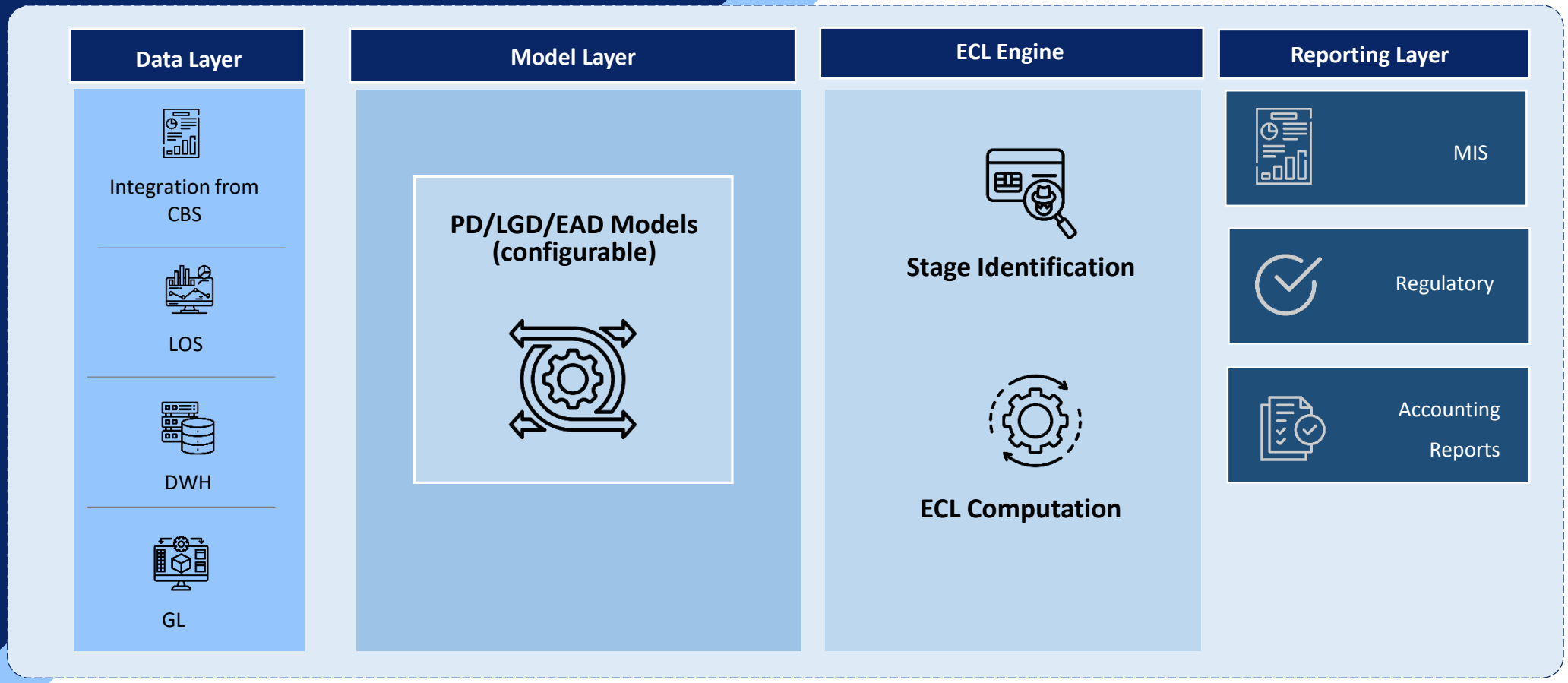
Data Networks's ECL Engine allows dynamic scenario configuration.

Typical IFRS 9 Challenge

- Scattered Data Sources across CBS, LOS, GL
- Complex Model Setup
- Manual Staging and Provisioning
- Time-consuming Reconciliation
- Lack of Audit Traceability

Data Networks IFRS 9 SOLUTION

IFRS 9 Application Architecture



Data Networks Advantage:
Fast-Track Implementation

- Data Networks's Data Warehouse (DWH) provides a ready foundation
- Centralized customer, exposure, and collateral data
- Pre-validated and standardized formats
- Historical trend data for PD/LGD calibration

Result:
Implementation reduced by 40–60%
Faster Go-Live
Lower Cost of Compliance

Real Example of Fast: Track Deployment

Case: Regional Bank – IFRS 9 Implementation

- Data already available in Data Networks DWH
- IFRS 9 engine configured within 6 weeks
- Auto-integration with GL for provisioning entries
- Accuracy improved to 98%

PD/LGD/EAD Modelling Examples

3 **PD Model Example**

2 **LGD Example**

1 **EAD Example**

Based on customer rating migration:
Grade 2 → Grade 3 = 2% PD

Secured loan with 70% collateral recovery
→ LGD = 30%

₹8,00,000 drawn balance + ₹2,00,000 undrawn limit × 50% CCF = ₹9,00,000

ECL = *2\% × 30\% × 9,00,000 = ₹5,400*

Staging Logic in Data Network System

Stage 01

Performing (Days Past Due < 30)

SICR Trigger (31–89 days or rating downgrade)

Stage 02

Stage 03

Defaulted (≥90 days overdue)

All rules configurable per product or institution.
System auto-migrates stages daily based on data feeds from DWH.

Example of ECL Computation Flow

Flow 01

Data pulled from DWH → validated

Flow 02

Stage allocated (e.g., customer overdue = 60 days → Stage 2)

Flow 03

Apply PD, LGD, EAD from model tables

Flow 04

Compute ECL and post provision to GL

Example Result:
PD 5%, LGD 40%,
EAD ₹5,00,000 →
ECL ₹10,000
GL entry auto-posted as:

Debit: Impairment Expense ₹10,000

Credit: Loan Loss Provision ₹10,000

Integrated DWH

Technical
Integration Flow

CBS / LOS

↓

Data Networks DWH

↓

IFRS 9 Engine

↓

GL / Reporting

+

Example:

If the CBS updates 10,000 loan records, DWH syncs automatically
→
IFRS 9 engine recalculates Stage migration & ECL overnight.

IFRS 9 Advantage

Key Benefits:

- **Seamless Data Flow:**

  No manual extraction required
- **Real-time Refresh:**

  Automated nightly data sync
- **Historical Depth:**

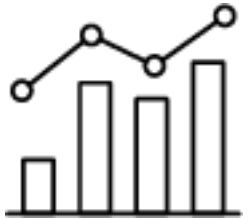
  Enables PD/LGD back testing
- **Governance**:

  Audit trails from source to provision

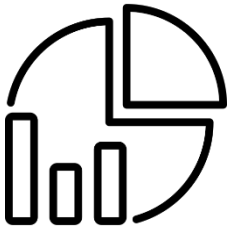
Reporting Layer & Dashboards

Data Networks provides ready dashboards for

- Stage Distribution (1/2/3)



- Product-wise ECL Trend
- Portfolio Migration Summary



- Scenario-based Provisioning Impact

Implementation Timeline (Fast-Track)

Phase	Description	Duration
Data Mapping & Model Setup	Reuse existing DWH structures and align data sources.	2 weeks
ECL Engine Setup	Configure calculation rules, run initial testing and validation.	3 weeks
UAT & Reporting	Conduct user acceptance testing, validate outputs, and calibrate results.	3 weeks
Go-Live	Final sign-off, deployment, and user training.	—
Total Duration	—	8–9 weeks

Key Client Benefits

- IFRS 9 compliance with minimal manual effort
- Faster implementation due to DWH integration
- Configurable PD/LGD/EAD and SICR models
- End-to-end automation from data to GL
- Detailed Dashboards and Audit logs

Data Networks Value Proposition

- Proven IFRS 9 & Regulatory expertise
- Pre-built DWH accelerates deployment
- Data-driven, parameterized design
- Seamless integration & scalability
- Strong post-implementation support

DATA NETWORKS

Contact Us

Data Networks Consultancy

GS3 Gred Building, Tshalu Lam,

Babesa, Thimphu.

Bhutan

info@bdatanetworks.com

17862278